SABLE HARBOR

LEGAL RECORDS
FULL SOURCE EDITION

Draft publication design · exact-file review required

Complete source text follows. The source's own status and limitations remain in force; this edition does not establish execution, filing or approval.

SABLE HARBOR ADVISORY — LEGAL AND CONTRACTING TERM SHEET

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State: `LOCKED DIRECTION`; not executed legal paper; qualified counsel required

Owner: Legal with President, Sable Harbor Advisory

Related: `SH-ADV-005–009`; enterprise legal-entity register

1. Purpose

This term sheet defines the required legal architecture for a mature Advisory practice. It is an operating specification for counsel, contracting and internal controls. It is not itself an executed contract, tax opinion, employment agreement or securities instrument.

2. Legal form

Until a separate entity is expressly formed, Advisory operates as a business line of the existing controlling Sable Harbor entity identified by the enterprise legal register. The descriptive business name **Sable Harbor Advisory** may be used operationally and in collateral subject to final legal/trademark clearance.

No document should invent a separate subsidiary, partnership or jurisdiction solely because professional-services firms often use one.

3. Client master agreement architecture

The preferred contracting stack is:

1. Master Services Agreement / Professional Services Agreement;

2. Data Protection and Security Addendum as required;
3. Atlas Meridian subscription/license terms where Atlas is licensed;
4. Statement of Work / Matter Charter for each Advisory matter;
5. Outcome Schedule for Measurable Value Matters;
6. Transfer Schedule for Capability Matters;
7. any jurisdiction, safety, export, regulated-industry or client-specific addendum.

The matter-specific documents control scope without renegotiating the entire legal relationship each time.

4. Statement of Work minimum terms

Each SOW identifies:

- matter class;
- problem/question;
- deliverables and/or capability state;
- success criteria;
- authorities and explicit non-authorities;
- client dependencies;
- key personnel/roles where required;
- timeline and milestones;
- committed fee;
- variable fee mechanics if any;
- Atlas/product charges;
- expenses;
- data/source assumptions;
- IP/transfer classification;
- acceptance;
- change control;
- stop/termination rights;
- review/escalation route.

5. Outcome Schedule

A Measurable Value Matter must attach or incorporate an outcome schedule containing:

- baseline amount and date;
- metric definitions;
- source systems;
- normalization;

- exclusions;
- attribution method;
- client dependencies;
- measurement period;
- payout curve;
- cap;
- Value Office certification role;
- restatement/dispute mechanism.

The contract should not use a vague phrase such as “percentage of savings” without this schedule.

6. Capability Transfer Schedule

A Capability Matter identifies:

- client-owned artifacts;
- licensed Sable Harbor components;
- reserved IP;
- third-party dependencies;
- Atlas tenant/edition;
- acceptance tests;
- training;
- client owner;
- transition period;
- support obligations;
- export/termination rights;
- known limitations.

7. Professional standard and no guaranteed conclusion

The agreement should state that Sable Harbor provides professional judgment and agreed services/capability but does not guarantee a particular conclusion, regulator response, transaction result, market condition or client management decision unless a specific objective outcome is expressly contracted.

Outcome fees reward measured performance; they do not purchase a preferred professional finding.

8. Client responsibilities

Client obligations may include:

- timely access to accurate data and personnel;

- authority to provide data and grant access;
- named decision/operating owner;
- implementation participation;
- safety and site requirements;
- review/acceptance within stated periods;
- maintenance of required systems/controls;
- payment and outcome-measurement cooperation.

Failure of a client dependency may change schedule/economics without permitting Sable Harbor to certify work that did not succeed.

9. Confidentiality

Confidentiality terms must protect:

- client confidential information;
- Sable Harbor reserved professional IP;
- Sable Harbor operating-business secrets;
- Atlas security/product information;
- J2 restricted information that may not lawfully/commercially enter the matter in the first place.

Residual-knowledge clauses, if used, must not become a back door for intentional disclosure or reuse of identifiable client trade secrets.

10. Data protection

Where personal, regulated or sensitive data is processed, terms define:

- controller/processor roles where applicable;
- authorized purpose;
- security measures;
- subprocessors;
- data location/residency where required;
- incident notification;
- retention/deletion;
- data subject/regulatory assistance where required;
- cross-border transfer mechanism where applicable.

11. Intellectual property

Contracts implement the four-class model in `SH-ADV-007`:

- client-owned foreground material;

- licensed Sable Harbor capability;
- reserved Sable Harbor background/foreground professional IP;
- restricted third-party/institutional material.

Broad assignment clauses must be reconciled to this model before signature.

12. Atlas license

Atlas terms specify:

- edition/tenant;
- subscription term;
- authorized use;
- users/administrators;
- connectors/API;
- third-party models/services;
- security/support;
- service levels where applicable;
- data rights;
- client export;
- suspension for security/abuse/nonpayment where appropriate;
- termination;
- post-termination access/export;
- licensed versus transferred agent/workflow components.

13. Liability architecture

Liability terms are risk-based and subject to enterprise approval. The default objective is:

- aggregate liability cap tied to fees or negotiated risk basis;
- higher/special treatment for confidentiality, data protection, IP infringement, fraud/willful misconduct where market/legal practice requires;
- exclusion or limitation of indirect/consequential damages where enforceable;
- no acceptance of unlimited operational loss merely because advice touches a high-value system;
- insurance obligations aligned to actual coverage.

14. Indemnities

Indemnities should be narrow and tied to controllable risks such as third-party IP claims, defined data/security breaches, or misconduct. Advisory should not indemnify the client for the client's own operating decisions, unsafe implementation, undisclosed source defects or unauthorized use of transferred capability.

15. Safety and operating authority

For field/industrial work, the contract states that the client/operator retains site and operating authority unless an explicit instrument establishes otherwise. Sable Harbor recommendations and technical access do not make Advisory the operator.

16. Subcontractors and specialists

Sable Harbor may use approved specialists where appropriate while remaining accountable for contracted professional work. Material subcontractor use is disclosed where required by contract, regulation or data/security terms.

Subcontractors receive only necessary matter access and are bound to confidentiality, security, IP and conflict obligations.

17. Publicity and references

Client name, logo, case details, outcomes or testimonials may be used externally only with the required consent. De-identified/generalized case learning may be used internally or externally only where contractual/confidentiality rights permit.

18. Termination and stop-work

Sable Harbor preserves rights to suspend or terminate for:

- nonpayment;
- unlawful or unsafe request;
- material confidentiality/security risk;
- client demand for falsification or predetermined conclusion;
- sanctions/illicit-purpose concerns;
- unresolved conflict;
- material client dependency failure;
- other defined breach.

Termination triggers orderly transfer/export of client-owned material subject to payment, law and security.

19. Dispute resolution

Contracts define commercial escalation before formal dispute. Outcome disputes may use independent expert determination for metric calculations while broader legal disputes follow the agreed venue/arbitration/litigation clause.

Professional conclusions are not rewritten as settlement currency.

20. Carry instrument legal requirements

The final Carry Plan agreement must address:

- phantom/nonvoting economic nature;
- unit grant documentation;
- vesting;
- distributions;
- holdback;
- good/bad leaver;
- clawback/malus;
- tax withholding and deferred-compensation compliance;
- transaction treatment;
- no governance rights;
- J2 eligibility evidence;
- representation that no individualized promise was made while the participant served in J2.

21. Counsel closeout

Before external launch at scale, qualified counsel should produce controlled templates for the documents above and reconcile them to the actual Sable Harbor legal/tax structure, insurance, privacy posture, Atlas product architecture and jurisdictions. Until then this term sheet controls design intent but does not pretend execution has occurred.